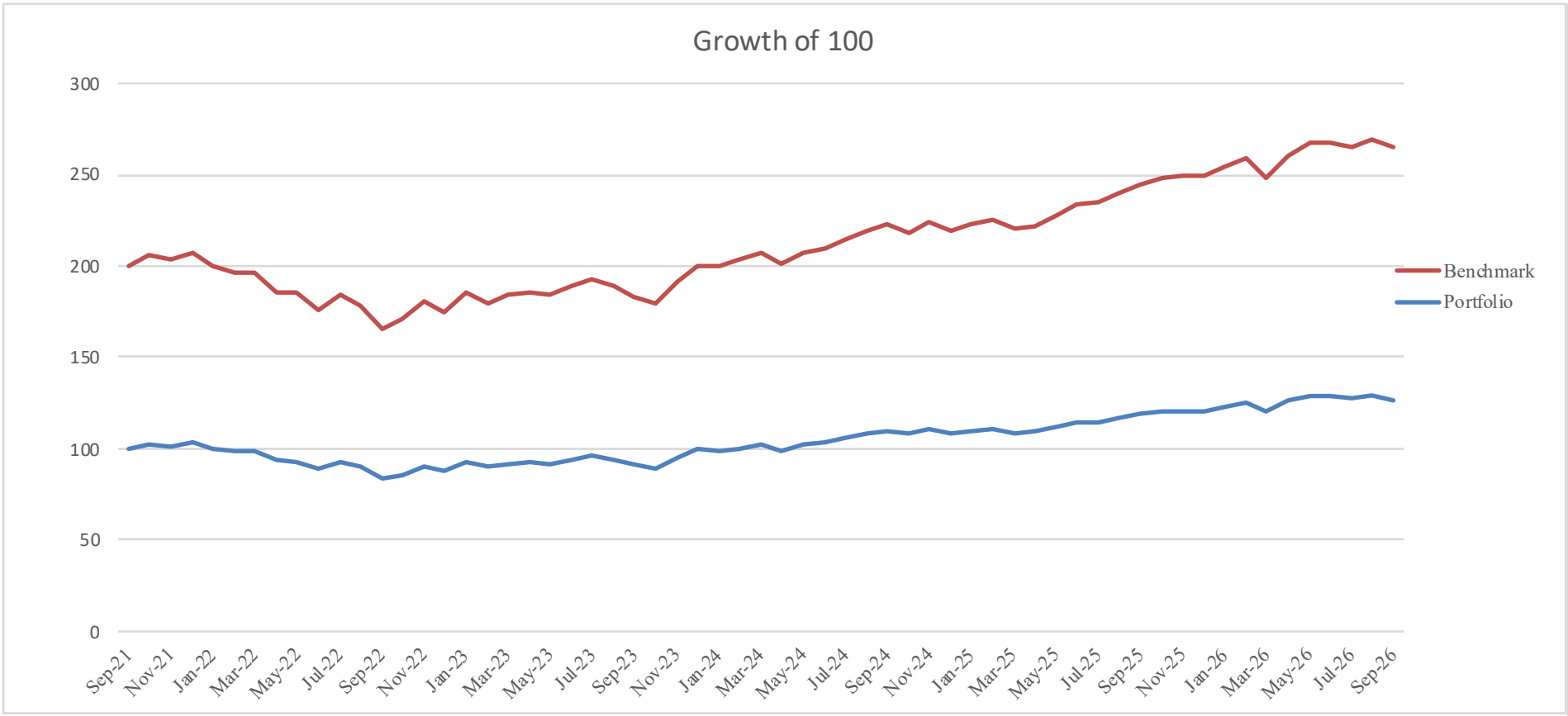
Portfolio Performance Report

Data to September 2026 | Benchmark: 60% VT / 40% BND | Total return, monthly rebalanced

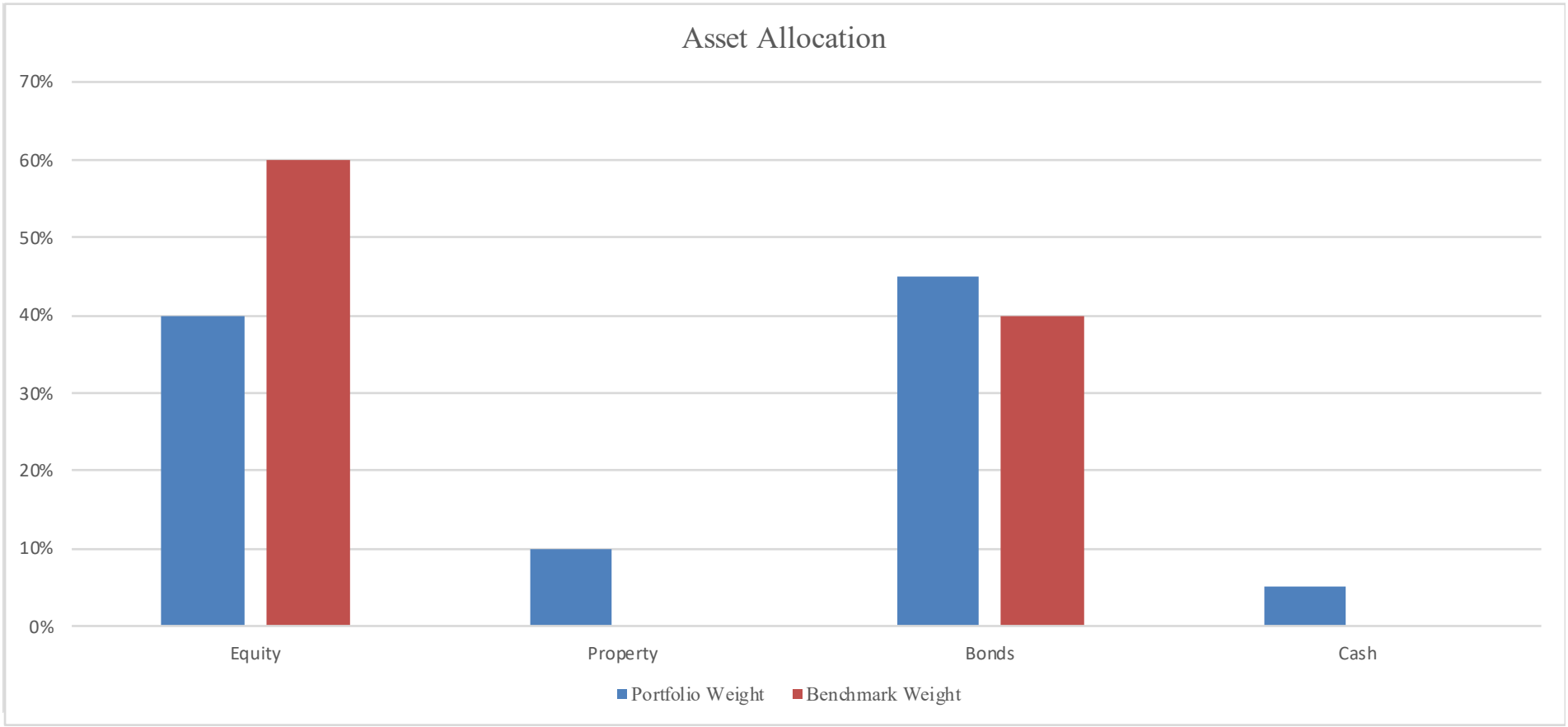
	Portfolio			Benchmark		
	1Y	3Y	5Y	1Y	3Y	5Y
Annualised Return	0.065347825	0.11680939	0.048684183	0.092320088	0.143995167	0.066245992
Volatility	0.073806488	0.077418426	0.098145805	0.086607725	0.085429348	0.109465696
Sharpe Ratio	0.478925711	1.121301409	0.190371693	0.719567315	1.334379464	0.331117355
Tracking Error	-0.026972263	-0.027185777	0.016889131			
Max Drawdown (5Y)			-0.195021999			-0.211491553




Risk vs Return (5Y)
25.0%
20.0%
15.0%
10.0%
5.0%
0.0%
-5.0%
0
1
2
3
4
5
6
7
8
9
10
Volatility
Annulised Returns
Volatility

Checks: PASS

	Allocation	Selection	Interaction
Last 12M	-0.000291718	-0.026092839	-0.026092839
Full Period	-0.000741347	-0.089228859	-0.089228859



Performance: Over the last five years the portfolio returned 4.9% a year, compared with 6.6% for the 60/40 benchmark, a shortfall of about 1.7% a year. Over the last 12 months it returned 6.5% against 9.2%.

What drove it: The shortfall came almost entirely from asset allocation. The portfolio held about 40% in equities against the benchmark's 60%, and equities outperformed bonds over the period.
In the last 12 months, allocation cost 2.8%, while fund selection added a small 0.2%. The choice of funds within each asset class made little difference.
Risk: The portfolio was less volatile than the benchmark (9.8% against 11.0% over five years), and its worst peak-to-trough fall was 19.5% against 21.1%. Its risk-adjusted return, measured by the Sharpe ratio, was lower at 0.19 against 0.33, because the lower return outweighed the lower risk.

Summary: The portfolio has behaved as a more cautious version of the benchmark. The lower return is the cost of holding less equity, and the trustees should confirm that this level of risk still matches their objectives.